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Contents

Key takeaways	1
Segment-level impact	2
Country-level impact	2
Businesses and consumers	3
Additional impacts	3

EMERGING TECH RESEARCH

Tariffs and the Gaming Industry

Shifting tariff policy reshapes gaming hardware supply chains and margin dynamics

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- A potential 125% tariff on Chinese imports could significantly raise gaming hardware prices, with the Nintendo Switch 2 console and Grand Theft Auto VI video game releases directly impacted and consumers facing price increases as high as 50%.
- While companies like Nintendo have shifted production to countries like Vietnam, geopolitical instability and inconsistent tariff applications have limited the effectiveness of supply chain diversification.
- A full-scale trade war with China could drive a 20% to 60% contraction in hardware sales through the decade, increasing risk for investors and accelerating industry bifurcation toward premium, price-inelastic content and platforms.

Segment-level impact

Gaming hardware and peripherals are a \$42 billion market with heightened attention on the category in 2025 due to the forthcoming release of the Nintendo Switch 2 console and the Grand Theft Auto VI (GTA6) video game debut.¹ Hardware developers, including Microsoft, Sony, Nintendo, and others, face material tariff exposure with a looming 125% levy targeting China and on-again-off-again tariffs applied to Mexico, Vietnam, and numerous other regions.

According to research from JP Morgan, consumer electronics face the third-highest input sourcing from China (40%), behind only toys (80%) and home furnishings (44%).² Past instances of carveouts for gaming equipment appear unlikely. Most gaming hardware is manufactured in China, though some has been redirected to Vietnam in recent years.

Following the “Liberation Day” tariff announcements on April 2, gaming companies across Asia saw shares fall 5% to 10%, but rebounded by April 9 when tariffs were delayed. The most immediately visible industry blow was Nintendo’s higher-than-anticipated Switch 2 price announcement and the decision to delay pre-orders in the US and Canada, citing the need to assess the potential tariff impact and evolving market conditions.³

Startups building gaming hardware constitute a relatively small portion of our analyst-curated vertical, with 2024 investment activity totaling \$339.5 million across 25 deals—a recovery from \$258.9 million and 19 deals in 2023. Notable category fundraises have flown to Rokid, XREAL, Virtuix, and others, primarily for extended reality devices.

Undoubtedly, this category has become riskier for investors. While the industry displayed a degree of recession resilience in years past, the current market is quite different, as previous growth vectors across technology, distribution, and content slow independent of tariffs.⁴ Additionally, with ossifying play patterns, venture-backed content developers face revenue headwinds if consumers cut discretionary spending due to inflation-eroded purchasing power across staples like groceries. Boxed game sales are a dwindling portion of the industry’s revenue but would also face price increases.

Country-level impact

Some firms, like Nintendo, were able to successfully ship hardware and shift production away from China during the first Trump administration, but the geopolitical risks have only increased. Countries like Vietnam and India—which benefited from supply chain diversification—were initially ensnared in the tariff rollout, potentially nullifying these strategic shifts, though the administration later reversed course. The 90-day pause is too brief of a window to structurally de-risk supply chains.

1: “Interactive Entertainment 2025,” Aldora, August 9, 2024.

2: “Implications of the U.S. Elections on the Global Economic Outlook,” National Retail Federation, Joyce Chang, January 12, 2025.

3: “Nintendo Delays Switch 2 Preorders Over Tariff Concerns,” The Verge, Emma Roth, April 4, 2025.

4: “Video Game Engagement at All-Time High During Recession,” Nielsen, July 2009.

Regardless, given the on-going China risk, consumers still face higher prices. The Consumer Technology Association previously estimated that a base 10% tariff rate globally plus a 70% tariff on China would increase hardware prices by 40%, with a top-end increase of 58% in a 20%/120% scenario. Price increases approaching 50% is probable given the increasing trade-war risk with China, but delayed levies for Japan, Indonesia, and India.⁵ Tangentially, China announced a cut in movie imports that could expand to games in time. The People's Republic of China has a fraught history with gaming approvals; through Q4 2024, the National Press and Publication Administration issued 1,282 ISBN game licenses—1,184 domestic games and 98 import games—a YoY increase and a historic bottleneck for the industry.

Businesses and consumers

Hardware developers face higher input costs and eroded consumer purchasing power and discretionary income. Demand uncertainty also increases with a potential pull-forward in demand if shoppers opt to purchase a PC in anticipation of future price increases.

A growing bifurcation within the industry could blunt some of the impact. Sony's PlayStation Plus, EA's \$100 preorder for College Football in 2024, and a potential \$100 price point for GTA6 point to a "premiumization" within the industry. This price inelasticity and top-tier IP allow top-of-the-market pricing that only select developers can reach.

For consumers, a gaming habit will become more expensive. With prices likely to increase across the board, from clothing to auto parts, alcohol, and more, game spending will likely pull back in the aggregate. Estimates range, but a full-on trade war with China could lead to a contraction in hardware sales by around 3 million units (-20%) in a bull case to 10 million units in a bear case (-60%) through the second half of the decade.⁶

Additional impacts

Tensions with China are rising—not for hardware manufacturing but for game license approvals and game funding and development. This is seen with TikTok's looming ban, NetEase's offloading of international studios, and Tencent's designation as a military company. Manufacturers will likely continue diversifying their supply chains, as Apple has with India, but these moves take time. Hardware-independent distribution will become more important, making Microsoft's "This [device] is an Xbox" campaign look prescient.

5: "How the Proposed Trump Tariffs Increase Prices for Consumer Technology Products," Consumer Technology Association, January 2025.

6: "Taxman Don't Playeth," SuperJoost, Joost van Dreunen, November 20, 2024.